Utilities	5%	200
Cable/Internet/Phone	5%	200
Food	10%	400
Transportation	10%	400
Recreation	5%	200
Debt	5%	200
Clothing	5%	200
Medical/Health/Gym	5%	200
Insurance	5%	200
Subtotal	**90%**	**3,600**
Cushion	10%	400
Total	**100%**	**4,000**

Again, these are estimates and options for spending that will vary. Maybe your housing cost is much higher, and you don't spend that much on clothing. Maybe you're servicing a bit more debt, or not servicing any. Regardless of how your income is specifically distributed, what I want you to notice is the 10 percent cushion under the subtotal. Remember that the cushion is on top of the 10 percent you invest and save, by the way. You're saving, investing, *and* putting away that cushion—because your goal is to live on 10 percent less than you normally do, even after you've factored in money set aside for savings and investing.

That's asking a lot. But I'm painting the ideal scenario. And I'm allowing for you to set aside money for the most important and often-ignored fund: your Catastrophe Cash Fund.

At first, that 10 percent will become your Catastrophe Cash Fund. When it reaches the amount you decided to set aside (say your total expenses for six months are $18,000), stop putting that money toward your Catastrophe Cash and start funneling that cushion back into your investments. To continue to live within your means, that's how you'll ease that percentage up ever so slightly, from 10 percent to 12 to 15, so that by the time you retire, you're already well adjusted to your new expectations, your new means, below which you will continue to live in relative financial bliss. If you're on a fixed income